

Tom Lister
co-managing partner

Kurt Björklund
co-managing partner

The view from the co-managing partners

It was a year of two halves for the private equity market. The favourable economic environment that characterised the first half of the year enabled significant levels of new investment and the realisation of some of our funds' existing investments. However, as the credit crunch took hold towards the middle of 2007, the market saw an abrupt slowdown in activity. The larger end of the buy-out market in the US and Europe remains quiet.

Investments

The Permira funds made four major investments in 2007, excluding Arysta LifeScience (signed in 2007 but not completed until March 2008). In total the Permira funds invested €3.4 billion.

Major investments by geography 2007 (transaction size)



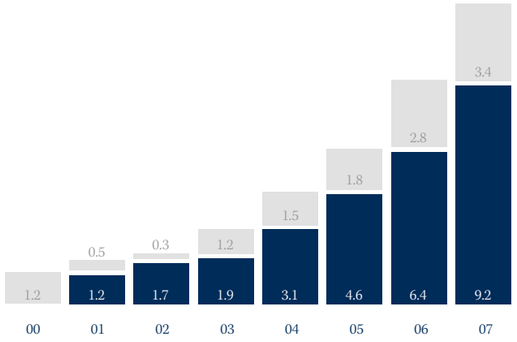
The largest of the funds' new investments was in Valentino Fashion Group/HUGO BOSS (page 76), the luxury goods groups behind numerous brands including 'Valentino' and 'HUGO BOSS Black'. The investment was driven by our consumer teams in Milan, Frankfurt and London and represents an exciting opportunity to grow some truly global brands.

ProSiebenSat.1 (page 70) is Germany's largest commercial TV broadcaster. In addition to being a leading media business in its own right, our sector team saw the attractiveness of combining it with the funds' existing investment in SBS Broadcasting to create the second largest European broadcasting group.

The Permira funds also invested in Provimi (page 71), a leading animal nutrition business with operations in 30 countries. Provimi represents an excellent chance for the Permira funds to invest in a growing, global business.

The funds' investments in Galaxy Entertainment Group (page 65) and Arysta LifeScience (page 56) were also notable for a different reason. They marked the funds' first investments directly into Asia, some two years after we first opened an office in the region, and demonstrate the opportunity that exists in these newer markets, building on our sector expertise.

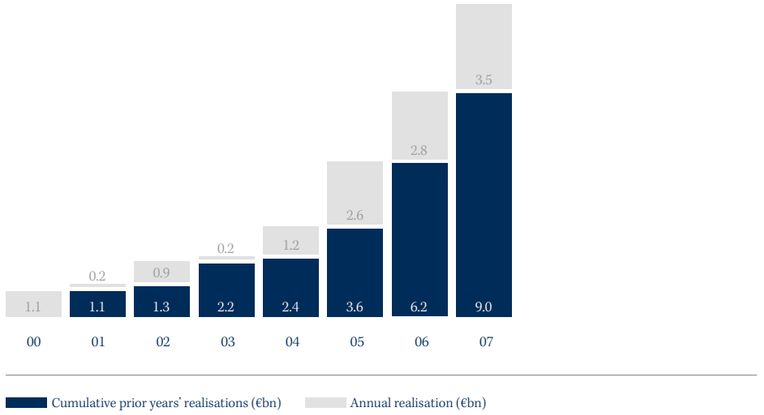
Cumulative investments
2000–2007 (€ billion)



Realisations

The Permira funds realised a total of €3.5bn in 2007 (pages 40-49) and a further €1.1bn will be realised from the sale of Intelsat (closed on 4 February 2008) and Aearo Technologies (expected to close in April 2008).

Cumulative realisations
2000–2007 (€ billion)



Portfolio[1] activity highlights

Among the other highlights for the year was the merger of the UK roadside recovery business the AA, with Saga, a leading provider of financial services to people aged over 50 in the UK, to create the UK's leading membership-based company with a combined database of 24 million individuals. The ambition is for both companies to work together to offer an enhanced range of products and services to their customers.

debitel, the German mobile phone service provider, acquired Talkline, gaining 3.8 million new customers. The acquisition has broadened debitel's subscriber base and given it a stronger platform to compete in Germany.

The funds' UK-based hotel business, Principal, made a number of add-on acquisitions, most notably Hayley Conferences, to increase its portfolio to 20 venues from the original six. Independent TV production business All3Media also made a number of complementary acquisitions, including two in the UK and its first business in Germany.

Across the board activity in the portfolio was encouraging: BorsodChem, the Hungarian chemicals business, made progress on its €500m capital expenditure programme to expand capacity; Spanish clothing retailer Cortefiel continued its push into new geographies; Birds Eye iglo launched the world's first Omega-3 fish finger; value fashion retailer New Look continued to roll-out new large format stores and was widely praised for launching new ranges by pop star Lily Allen and Giles Deacon, the former British designer of the year; and Gala Coral Group significantly expanded its operations in Italy.

[1] *A company in which the Permira funds hold a significant stake. The Permira funds also hold minor stakes in a small number of other companies*

Market outlook

The credit crunch that emanated from the crisis in the US subprime mortgage market took hold in the summer and continues to impact on financial markets around the world. It has meant a dramatic slowdown in activity, particularly in the US and Europe. The advantage of our global presence, however, was evident in the opportunities sourced in Asia, where the environment has been more supportive of investment activity since the summer.

The outlook remains uncertain both for the financial markets and for the global economy. As such, our focus remains on supporting our portfolio company management teams as they lead their businesses through more challenging times. Our sector teams will also continue to look for new opportunities to invest in companies that will benefit from help in adapting to ever more competitive global markets. It is especially in times like these that our long-term perspective can provide a valuable ownership and governance model for the funds' portfolio companies.

Other Permira corporate activity

Towards the end of the year we announced an important strengthening of our management team to reflect the growth of Permira. As Damon explained (page 7), he became chairman of Permira, while we both became co-managing partners. Damon will remain chairman of the Investment Committees, while we will run the Executive Committee (ExCo), which will have responsibility for managing Permira's private equity business. The ExCo members are all longstanding partners at Permira whose experience and knowledge will strengthen the leadership of the firm (pages 34-37).

The Executive Committee



From left to right: Jörg Rockenhäuser, Nicola Volpi, Carlos Mallo, Tom Lister, Kurt Björklund, Martin Clarke, Carl Parker

We announced our intention to open an office this year in Hong Kong at the same time as we announced the Permira funds' investment in Galaxy Entertainment Group. Parts of the Hong Kong team are now in place and it is planned that the office will open in the first half of 2008. We also plan to open an office on the west coast of the United States before the end of the year. Other offices will follow as we believe that a local presence is fundamental to investing in and working with companies.

In addition to the development of plans for new offices and sectors, 2007 saw more than 30 new professionals join Permira taking the total headcount in the business to more than 200. The geographical diversity of those joiners reflects our commitment to ensuring that our team takes a local outlook and considers the risks and opportunities presented by the diverse range of communities in which we operate.

Corporate responsibility

Corporate responsibility is a fundamental part of good governance. A concern for the social impact of our (and our funds') activity is embedded into our day-to-day operations and the Permira funds' investment process. At all stages of our involvement with a company, Permira is sensitive to environmental, social and reputational issues. The creation of the role of chief risk officer last year (page 34) has further strengthened our corporate responsibility activity.

We have pledged to become more transparent. In 2007, Permira took major steps towards this ambition and has worked hard to engage with the critics of private equity. This, Permira's first annual review, represents another example of this process.

Communications

We also reinforced our communications function in 2007 so that we could realise our commitment to more openness. We appointed our first director of global communications and we now have a team of professionals with a remit to engage with our stakeholders and to deliver higher standards of transparency.

Social investment

As well as working with businesses in which the Permira funds have invested, we work with a number of social initiatives to meet the desire of our professionals to be engaged with the wider community as a way of giving something back to society. Permira's social investment strategy operates in much the same way as our main business. We look for social enterprises that have unrealised potential and that could benefit from private equity support. We take this approach because it utilises the expertise and experience of the Permira team to help charities and other organisations overcome operational obstacles that are often as problematic as lack of funding.

We made real progress on two of our major social investment initiatives in 2007: the Breakthrough initiative (see opposite page) operated with Community Action Network (CAN) in the UK, and our work with Off Road Kids (ORK) in Germany. Our team in Frankfurt is working with ORK, a leading relief organisation for run-away kids in Germany, to support a ground-breaking new education project set up by founder Markus Seidel. It will create the country's first academy for youth workers, thereby addressing a gap in the education system and reinforcing the core of the organisation's charity work.

Permira has also made a significant contribution to the Private Equity Foundation (PEF) in the UK, which operates on a similar basis. It focuses on empowering young people who are not fulfilling their potential to re-enter the worlds of education, employment and training. Permira also sponsored and participated in the judging of the Oxford 21st Century Business Challenge, an international competition to identify bold and innovative business ideas to solve some of the key challenges of the next century.

BREAK THROUGH
Scaling up social enterprise

Breakthrough was set up to provide strategic support and growth capital to selected social enterprises with the ambition and potential to scale up significantly their business and thereby maximise their social impact.

CAN and Permira launched Breakthrough I, its first investment fund, in June 2005. To date five social enterprises have received support: FareShare (www.fareshare.org.uk), a company that distributes surplus food; Law For All (www.lawforall.org.uk), a group of non-profit community solicitors; Training For Life (www.trainingforlife.org.uk), an adult learning organisation; Green-Works (www.green-works.co.uk), an organisation that recycles unwanted furniture; and TimeBank (www.timebank.org.uk), a social enterprise that supports volunteering.

Breakthrough I provided the selected social enterprises with support in overcoming specific growth challenges, helping them to increase their turnover per annum by 20% between 2005 and 2007, and their social impact by 40% per annum (evaluation included metrics – such as tonnes of furniture resold, number of people into work, number of volunteers placed etc).

We launched Breakthrough II in October 2007. This second stage will see Permira provide more growth capital and business management expertise to support social enterprises on their journey to growth and sustainability. Around 20% of Permira's London team has been involved with Breakthrough to date; Breakthrough II will provide more with an opportunity to participate.

> *"Permira uses the venture philanthropy model to distribute its skills and wealth along with business expertise to social enterprises through their partnership with CAN. The partnership between CAN and Permira is an important development for venture philanthropy. It signals that private equity firms (not only individuals from that industry) view venture philanthropy as a relevant model for corporate philanthropy, providing access to grant capital and the skills found within private equity."*
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> 'Give and let give',
> Policy Exchange, December 2007.